KOPI KITA SDN BHD - PREMISES AND LEASING POLICY

Version 1.0 | Effective 1 July 2026 | Owner: Head of Property | Approved by: Managing Director and CFO

Why we have this policy

We run twelve cafe outlets, a central roastery, a head office and storage space, and we open or move an outlet most years. Almost all of it is rented. A lease is the longest and most expensive contract we sign, and a bad one can cost more than the outlet earns. This policy sets out the rules every tenancy, shop lot, office, warehouse and room rental must meet before anyone at Kopi Kita signs it. If a contract breaks a rule, do not sign it: ask the landlord to change it, or get a written exception under Rule L11.

These rules sit alongside the Kopi Kita Contracting Policy. Where both cover the same point, the stricter rule applies. "Rent" means the monthly rent before service tax and service charge. "Landlord" includes an individual owner.

Rule L1. Deposits

L1.1 The security deposit is **2 months' rent at most**. All deposits together (security, utility, key and any other deposit) are **3 months' rent at most**.

L1.2 The landlord returns the deposit within **30 days** after we hand back the premises, with a written statement of any deduction.

L1.3 The landlord may deduct only unpaid rent, unpaid bills and damage beyond fair wear and tear, and only the amount actually owed. A deposit is never forfeited in full because of "any breach" or because we leave early.

Rule L2. Rent and rent reviews

L2.1 The rent is fixed for the first **24 months**, or for the whole term if it is shorter.

L2.2 After that, rent may be reviewed **once in any 12 months**, on at least **60 days' written notice**, and an increase may not exceed **8%** of the rent then payable.

L2.3 The rent for a renewal term is set by a rule written into the contract: a fixed figure, a percentage not above 8%, or a valuation by a registered valuer appointed by both sides. We do not accept "the amount the landlord decides".

L2.4 We do not accept a landlord's right to raise rent in the middle of a term "at any time", on a few days' notice, or in its sole discretion.

L2.5 Late interest on rent is **1% a month at most**, charged only after 14 days overdue. We do not accept late charges counted per week or per day.

Rule L3. Repairs

L3.1 The landlord is responsible for the structure of the building: the roof, foundation, external walls, floor slab, columns, main drainage, main electrical supply and main water supply, and for fire-safety systems it owns.

L3.2 We are responsible for the inside of the premises we use, our own fit-out and equipment,

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and damage caused by us or our visitors.

L3.3 We are not responsible for fair wear and tear, or for repairs the need for which was caused by the landlord, the building or other tenants.

L3.4 The landlord starts a repair within **30 days** of being told, or sooner in an emergency. If it does not, we may carry out the repair and deduct the reasonable cost from rent.

Rule L4. Leaving early

L4.1 For any tenancy longer than **12 months**, we must have a right to end it for convenience after the first 12 months, on **3 months' written notice or less**, with no payment beyond rent up to the end date. A right to end only if the landlord breaches the contract is not enough.

L4.2 The landlord may not end a tenancy without cause. The landlord's notice to end for default must give us at least **30 days** to put the default right.

L4.3 Where either side may end the contract by notice, the landlord's notice period is **at least as long as ours**. We do not accept a landlord right on 14 days' notice with a tenant duty of 6 months.

L4.4 If the premises cannot be used because of damage, rent stops until they can be used, and either side may end the tenancy after **4 months**.

Rule L5. No personal guarantees

L5.1 No director, shareholder or employee of Kopi Kita gives a personal guarantee, a personal indemnity or a personal covenant for any lease. The tenant is the company only.

L5.2 We may give a bank guarantee or a larger deposit only within the limits in Rule L1.

Rule L6. Reinstatement and fit-out

L6.1 At the end of the tenancy we remove only what we installed that the landlord asked in writing to be removed, at least **3 months** before the end. We do not agree to reinstate premises to a "bare shell" or to repaint the whole premises.

L6.2 The landlord approves our fit-out plans within 30 days, and a rent-free fit-out period of **at least 30 days** applies to any new outlet lease of 24 months or more.

Rule L7. Insurance

L7.1 The landlord insures the building (fire and usual risks). We insure our own stock, equipment and fit-out and carry public liability insurance.

L7.2 We do not pay the landlord's insurance premium or loss-of-rental insurance, whether directly or by demand.

Rule L8. Entry and use

L8.1 The landlord may enter the premises only on at least **48 hours' written notice**, except in a real emergency, and outside our trading hours where possible.

L8.2 The landlord does not unreasonably withhold consent to our signage, our trade name or sub-letting to a group company.

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Rule L9. Costs and stamp duty

L9.1 Stamp duty and each side's own legal fees are **shared equally**, or each side pays its own. We do not pay the whole of the stamp duty, the registration fees and the landlord's legal fees, and we do not pay the landlord's costs of enforcing the lease on a solicitor-and-client basis.

L9.2 Utilities are charged at the actual meter or sub-meter reading. A shared-bill split must be written into the contract and may not make us pay for more than our own use.

Rule L10. Governing law

L10.1 A tenancy of premises in Malaysia is governed by the laws of Malaysia, with disputes in a Malaysian court or at the AIAC. A tenancy of premises in another country is governed by the law of the place where the premises are, with the Managing Director's approval recorded under Rule L11.

Rule L11. Exceptions

L11.1 An exception to any rule in this policy needs the written approval of the Managing Director and the CFO, with the reason recorded in the contracts register. Exceptions to Rules L1, L4 and L5 also need advice from our external lawyers before signing.

L11.2 This policy is reviewed every year by the Head of Property.

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